

Fiscal third quarter 2024 highlights

July 25, 2024

Safe harbor and fair disclosure statement

Some of the statements made and information provided during our call as well as information included in the supporting materials will be forward looking statements, including, without limitation, those regarding revenue, gross margin, selling and administrative expense, operating margin, other income and expense, taxes, cash cycle, capital allocation and future business outlook. Forward-looking statements are not guarantees since there are inherent difficulties in predicting future results, and actual results could differ materially from those expressed or implied in the forward-looking statements. For a list of factors that could cause actual results to differ materially from those discussed, please refer to the Company's periodic SEC filings, particularly the risk factors in our Form 10-K filing for the fiscal year ended September 30, 2023, as supplemented by our form 10-Q filings and the Safe Harbor and Fair Disclosure statement in our press release detailing our quarterly results.



FISCAL THIRD QUARTER THEMES

Strengthening demand across market sectors creates potential to realize 9-12% fiscal 2025 revenue growth.

Robust Q3F24 margin expansion supports goal of 5.5% GAAP and >6% non-GAAP operating margin exiting fiscal 2025.

Substantial Q3F24 and fiscal year-to-date free cash flow generation. Anticipate continued strong free cash flow generation for fiscal 2025.

OUR VISION

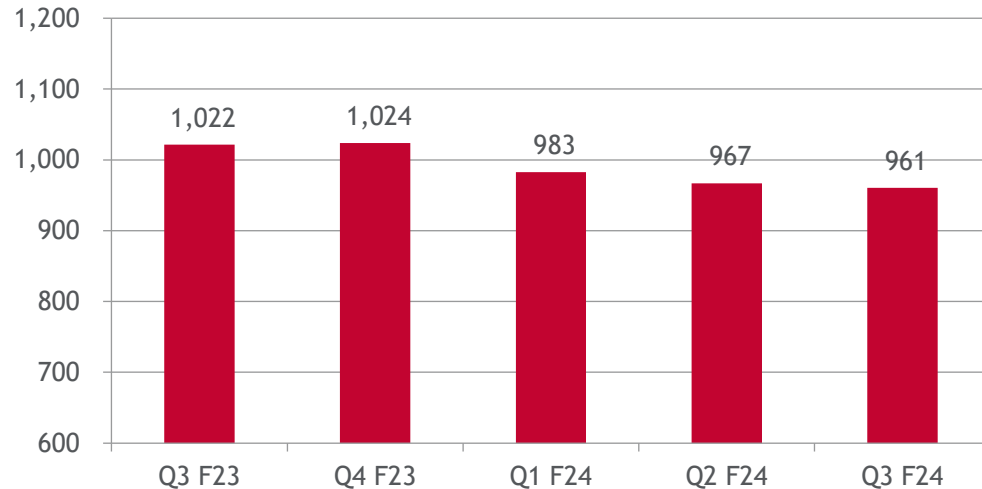
WE HELP CREATE THE PRODUCTS
THAT BUILD A BETTER WORLD

OUR MISSION

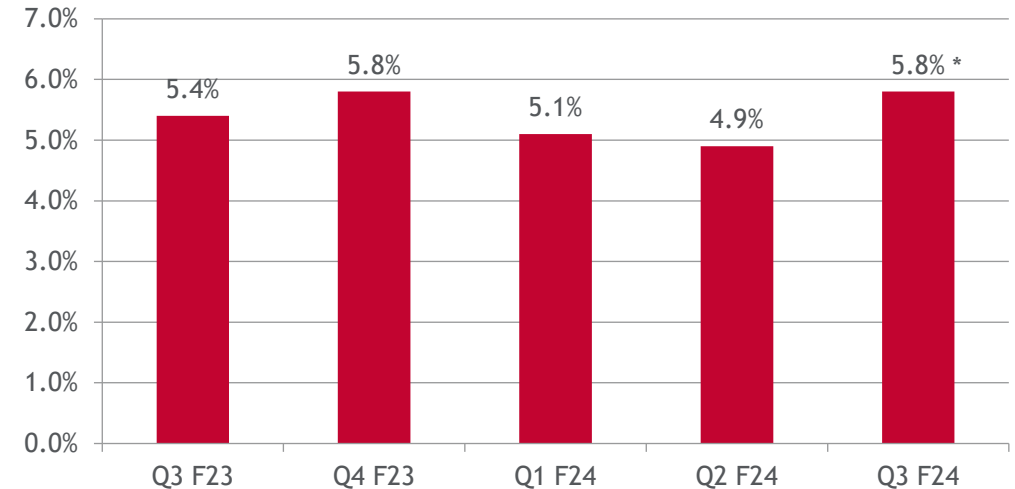
THE LEADER IN HIGHLY COMPLEX
PRODUCTS AND DEMANDING
REGULATORY ENVIRONMENTS

Fiscal third quarter financial results

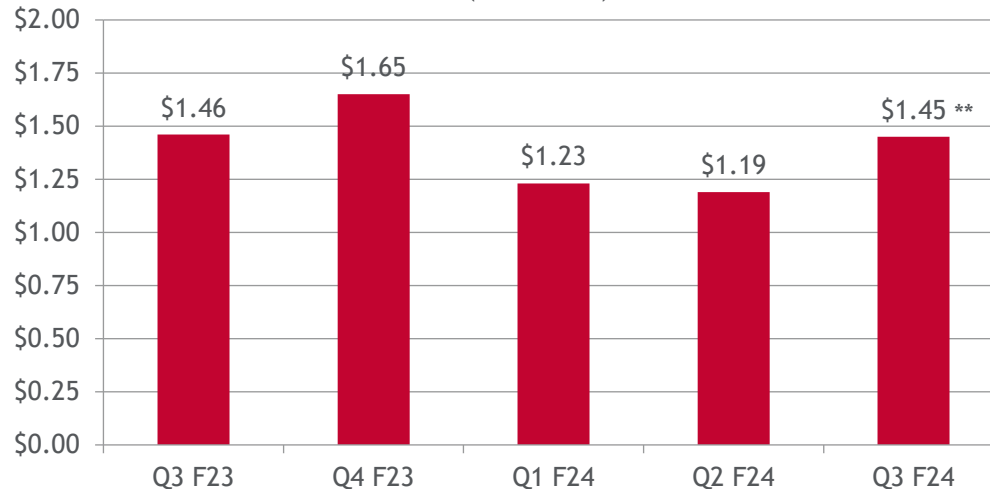
Revenue (\$ millions)



Operating Margin (Non-GAAP)



EPS (Non-GAAP)

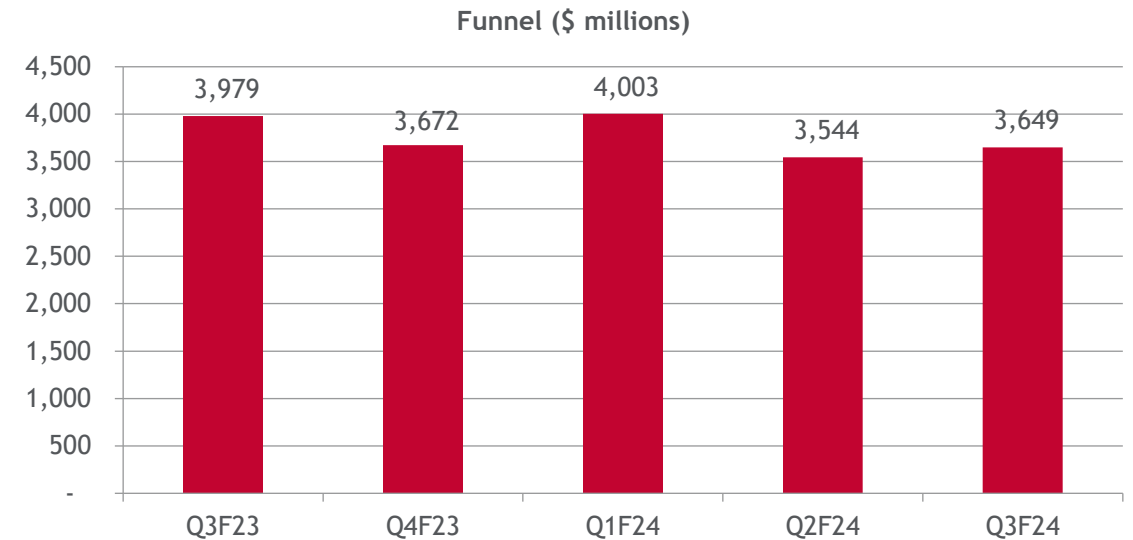
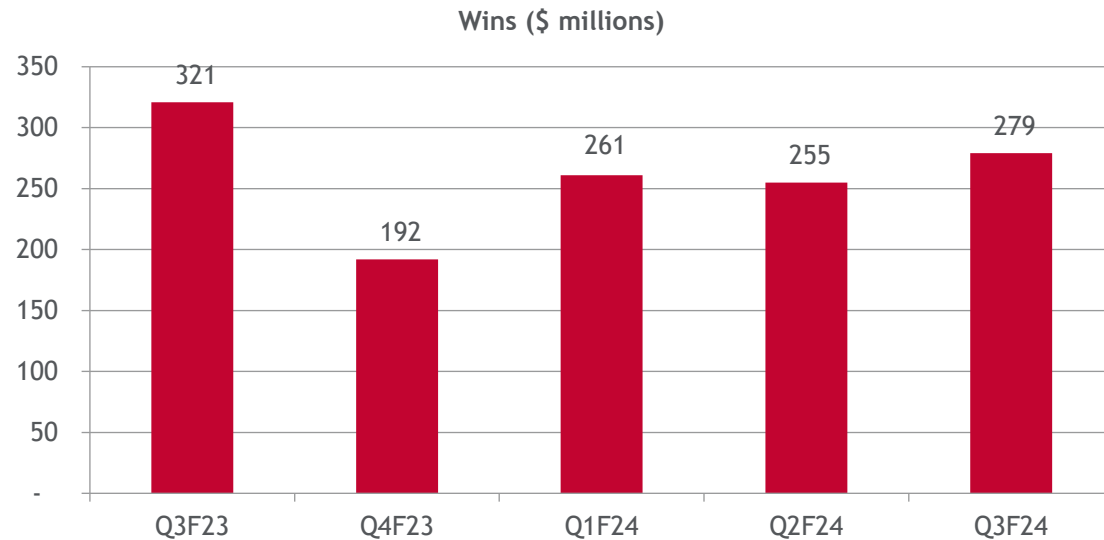


- Non-GAAP operating margin and non-GAAP EPS exceeded guidance ranges
- Non-GAAP operating margin expanded approximately 90 basis points sequentially
- Quarterly free cash flow of \$114 million and \$147 million fiscal year to date.

*Excludes approximately 100 bps of restructuring charges and 70 bps of stock-based compensation expense

**Excludes \$0.30 of restructuring charges and \$0.24 of stock-based compensation expense

Wins and funnel highlights



- 35 new manufacturing program wins worth \$279 million in annualized revenue
- Record contribution from our Healthcare/Life Sciences market sector
- Broadening market sector diversification for our engineering solutions. Highest wins in 4 quarters.



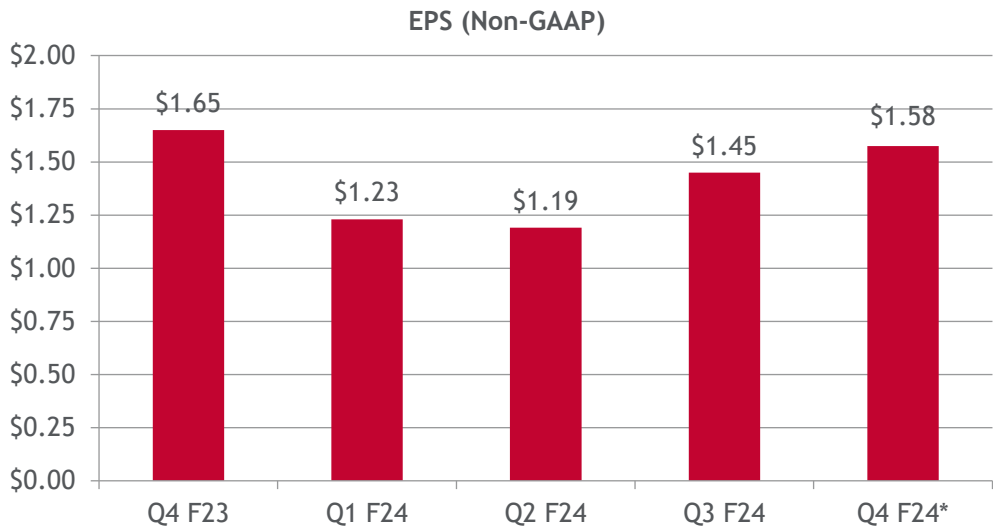
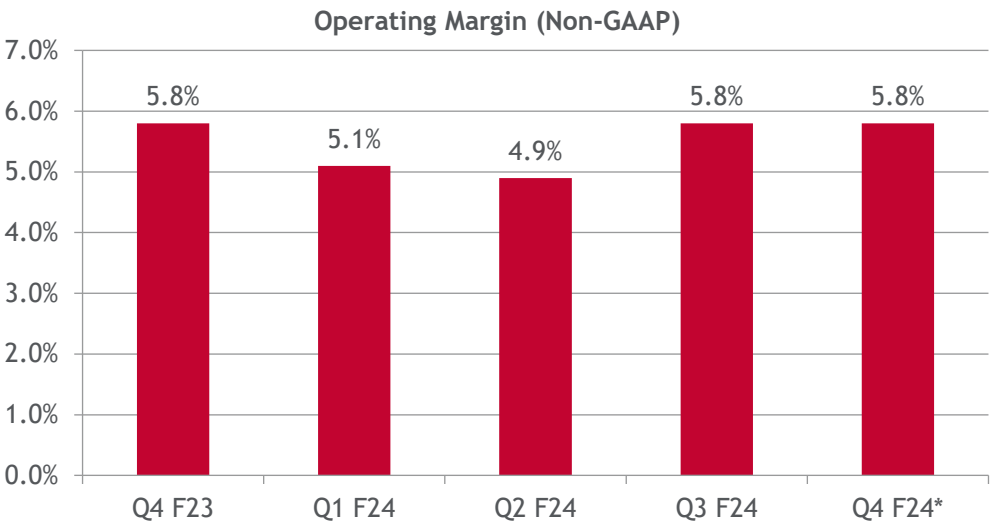
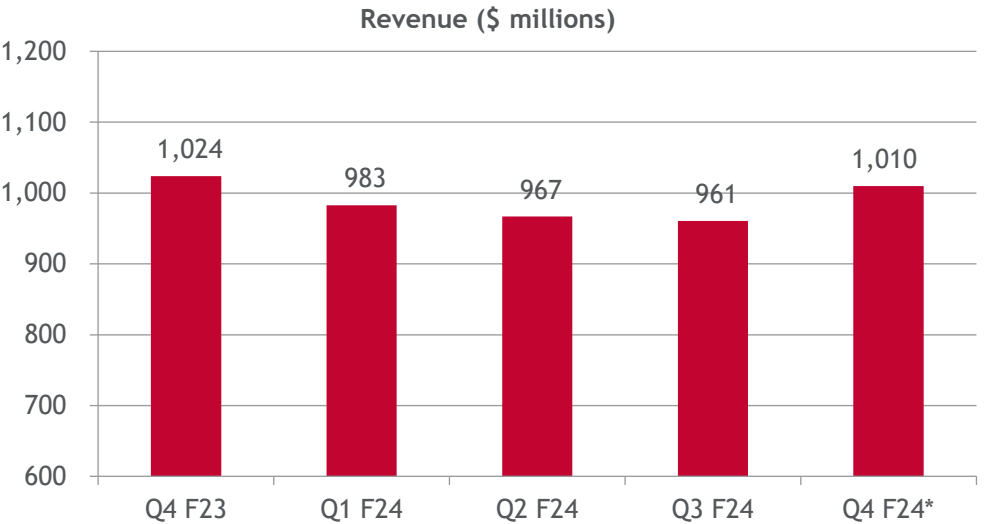
SUSTAINABLE & RESPONSIBLE
BUSINESS PRACTICES



Q3F24 Highlights

- Published fiscal 2023 Sustainability Report
- Committed to environmental impact reductions through initiatives such as solar panel installation
- Partnered with Greater Fox Cities Habitat for Humanity on our second full home build
- Awarded one of America's Greatest Workplaces for Mental Wellbeing by Newsweek magazine
- Our team in Guadalajara, Mexico received the Jalisco Responsible Badge for the second consecutive year

Fiscal 2024 fourth quarter guidance

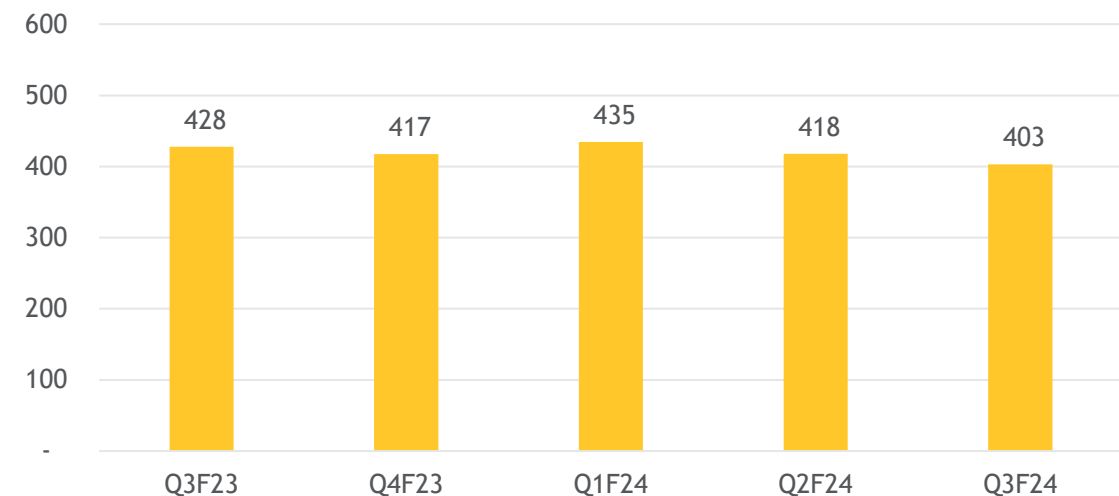


- Q4F24 revenue of \$990 million to \$1.03 billion
- Q4F24 non-GAAP operating margin of 5.6% to 6.0%
- Non-GAAP EPS guidance of \$1.50 to \$1.65
- Expect sustained momentum in fiscal 2025

** Represents midpoint of guidance*
Non-GAAP operating margin guidance excludes approximately 100 basis point of stock-based compensation expense
Non-GAAP EPS guidance excludes \$0.36 per share of stock-based compensation expense

Market sector performance - Industrial

Revenue (\$ millions)



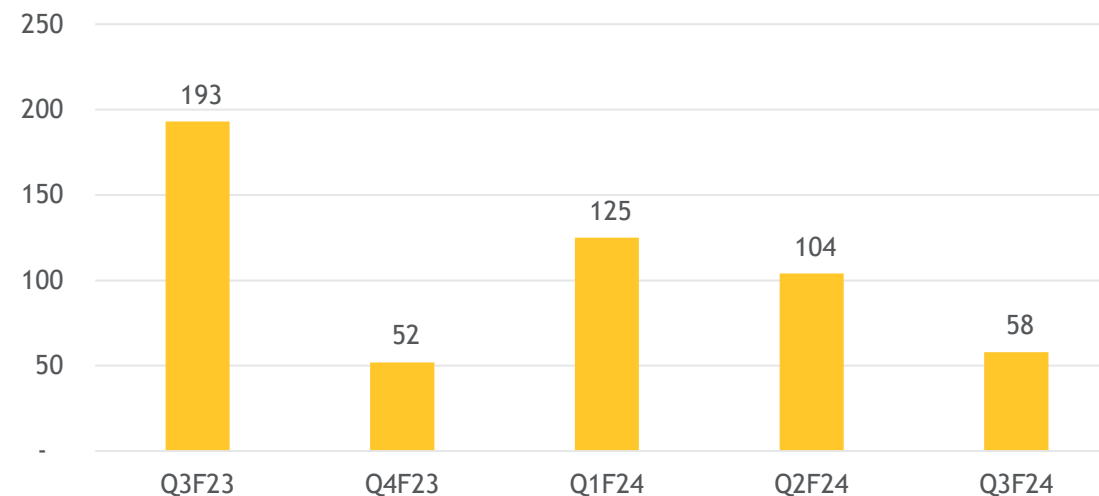
Q3F24 vs.
Q2F24

- 4%

Q4F24
Expectations

Up high single

Wins (\$ millions)

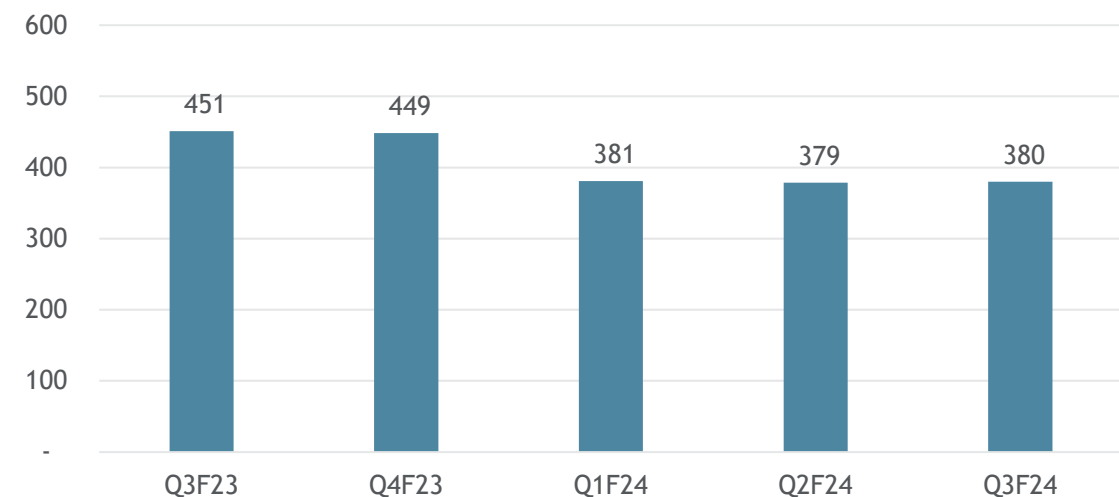


- Q3F24 below expectations on demand push-outs
- SemiCap and Communications showing signs of recovery
- Still expect low single-digit F24 revenue decline
- Expect revenue growth in F25

- Q3F24 wins highlights:
 - Partnership with global nuclear energy leader
 - Numerous SemiCap wins
 - Added new division of SemiCap customer

Market sector performance - Healthcare/Life Sciences

Revenue (\$ millions)



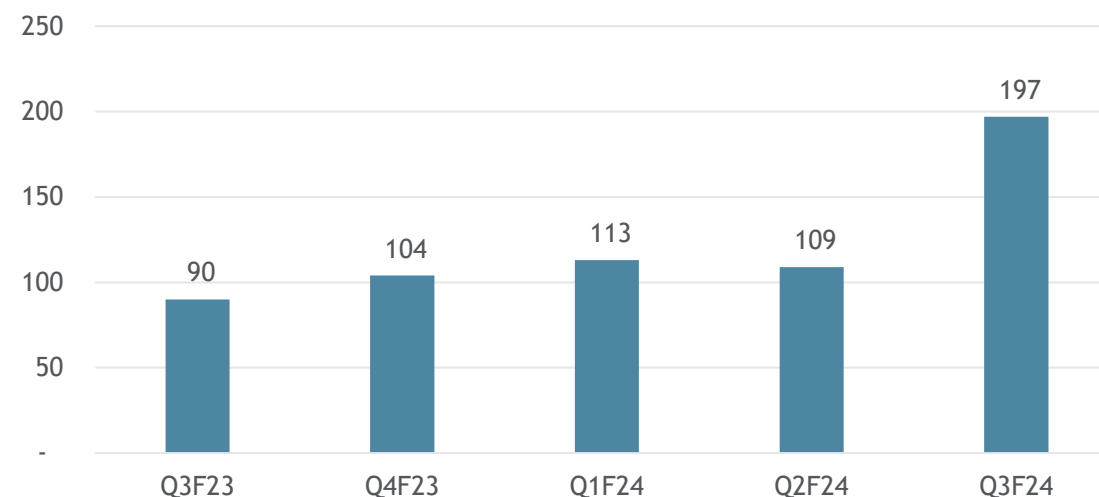
Q3F24 vs.
Q2F24

Flat

Q4F24
Expectations

Up mid single

Wins (\$ millions)

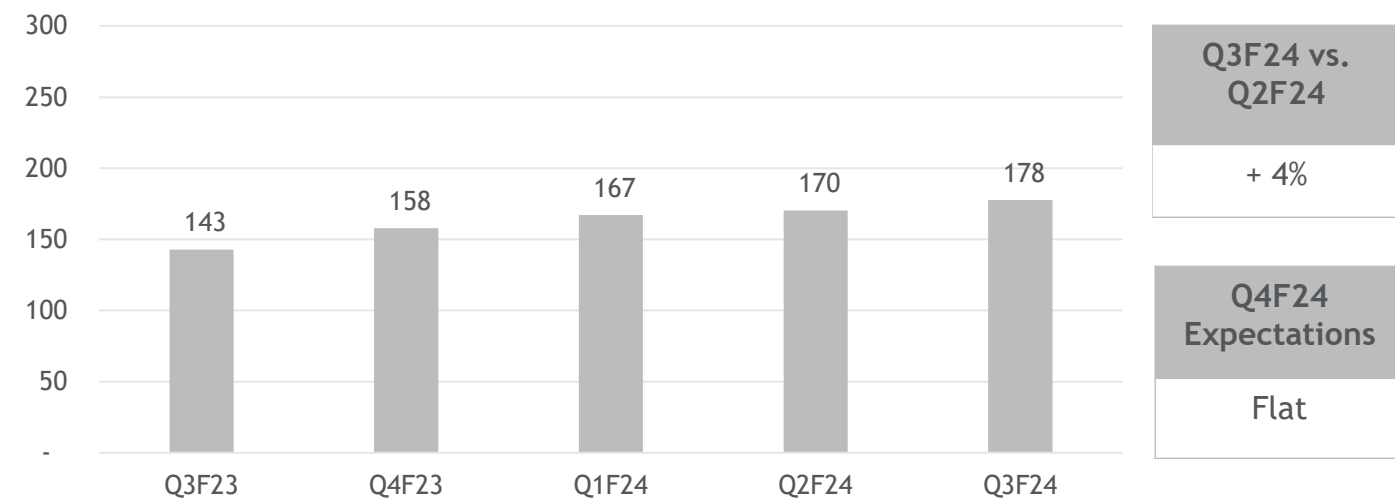


- Q3F24 met expectations
- Continue to forecast F24 revenue decline in the mid teens
- Improved trend with Q4F24 showing revenue increase
- Anticipate return to strong growth in F25

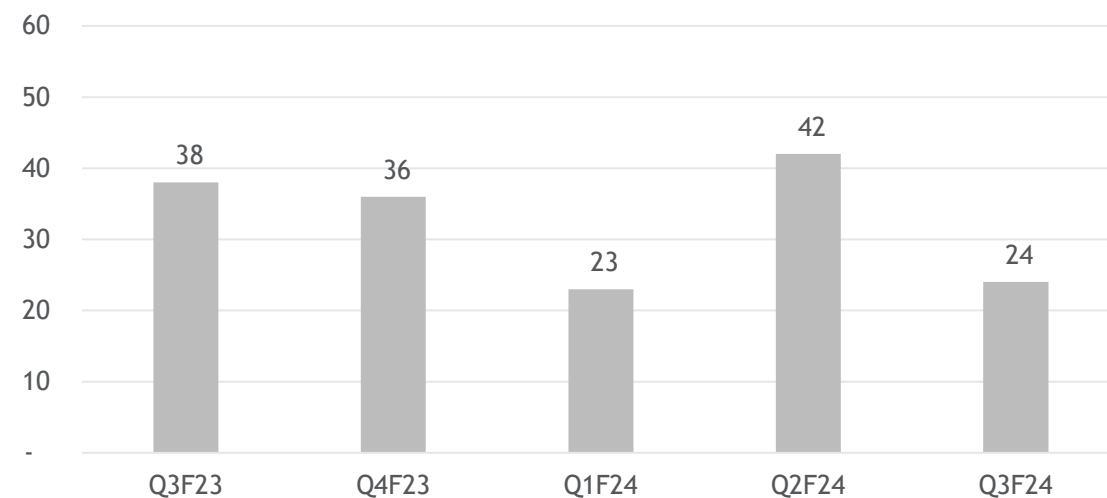
- Record quarterly wins
- Q3F24 wins highlights:
 - Single-use surgical procedure device
 - Ultrasound program: sole-sourced
 - Neonatal support product

Market sector performance - Aerospace/Defense

Revenue (\$ millions)



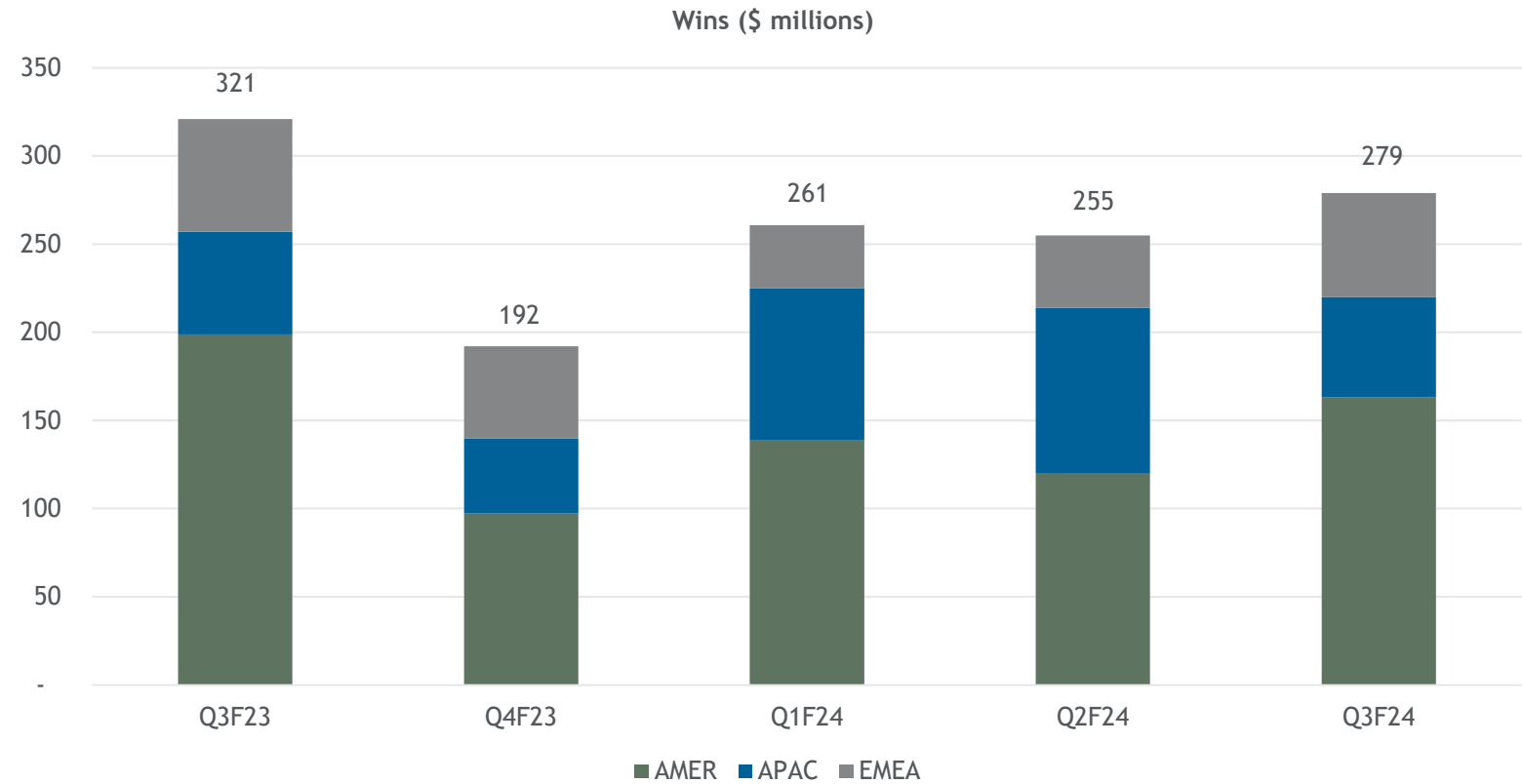
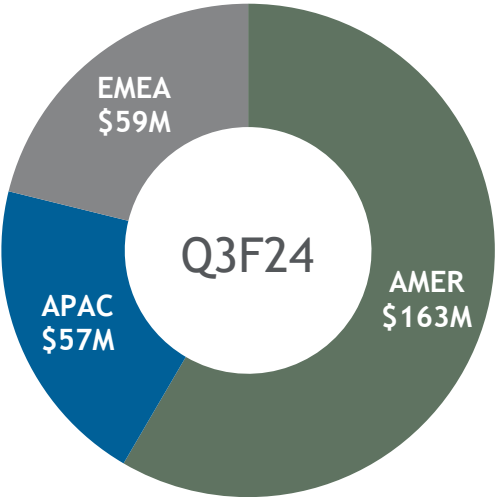
Wins (\$ millions)



- Q3F24 below expectations on supply constraints
- Robust commercial aerospace demand persists
- F24 still expected to exceed F23 revenue growth of 17%
- Expect growth tailwinds to continue in F25

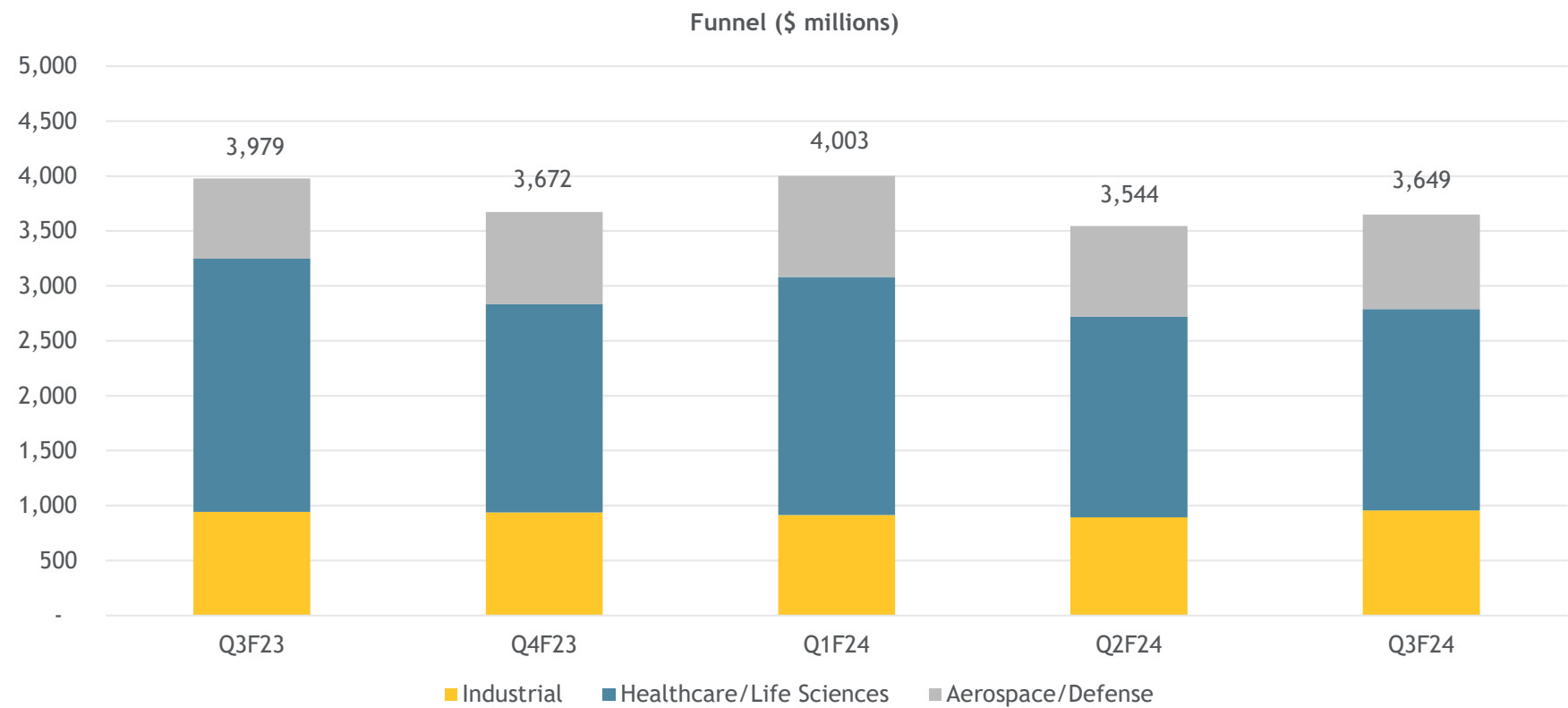
- Q3F24 wins highlights:
 - Secure radio communications product
 - Aerospace communications equipment

Regional manufacturing wins trends



Robust Q3F24 manufacturing wins of \$279M

Qualified manufacturing funnel trends



Funnel growth despite strength of wins

Income statement

	Q3F23	Q2F24	Q3F24 Actual	Q3F24 Guidance
Revenue	\$1.02 billion	\$967 million	\$961 million	\$960 million to \$1.0 billion
Gross margin	9.2%	9.1%	9.8%	9.3% to 9.7%
Selling & administrative expense	\$42.3 million	\$47.6 million	\$46.0 million	\$45.5 to \$46.5 million
GAAP operating margin	2.8%	3.0%	4.1%*	3.9% to 4.3%
Non-GAAP operating margin	5.4%	4.9%	5.8%	5.2% to 5.6%
Non-operating expense	\$10.8 million	\$10.5 million	\$8.9 million	\$10.5 to \$11.0 million
GAAP diluted EPS	\$0.56	\$0.58	\$0.91**	\$0.80 to \$0.95
Non-GAAP diluted EPS	\$1.46	\$1.19	\$1.45	\$1.22 to \$1.37

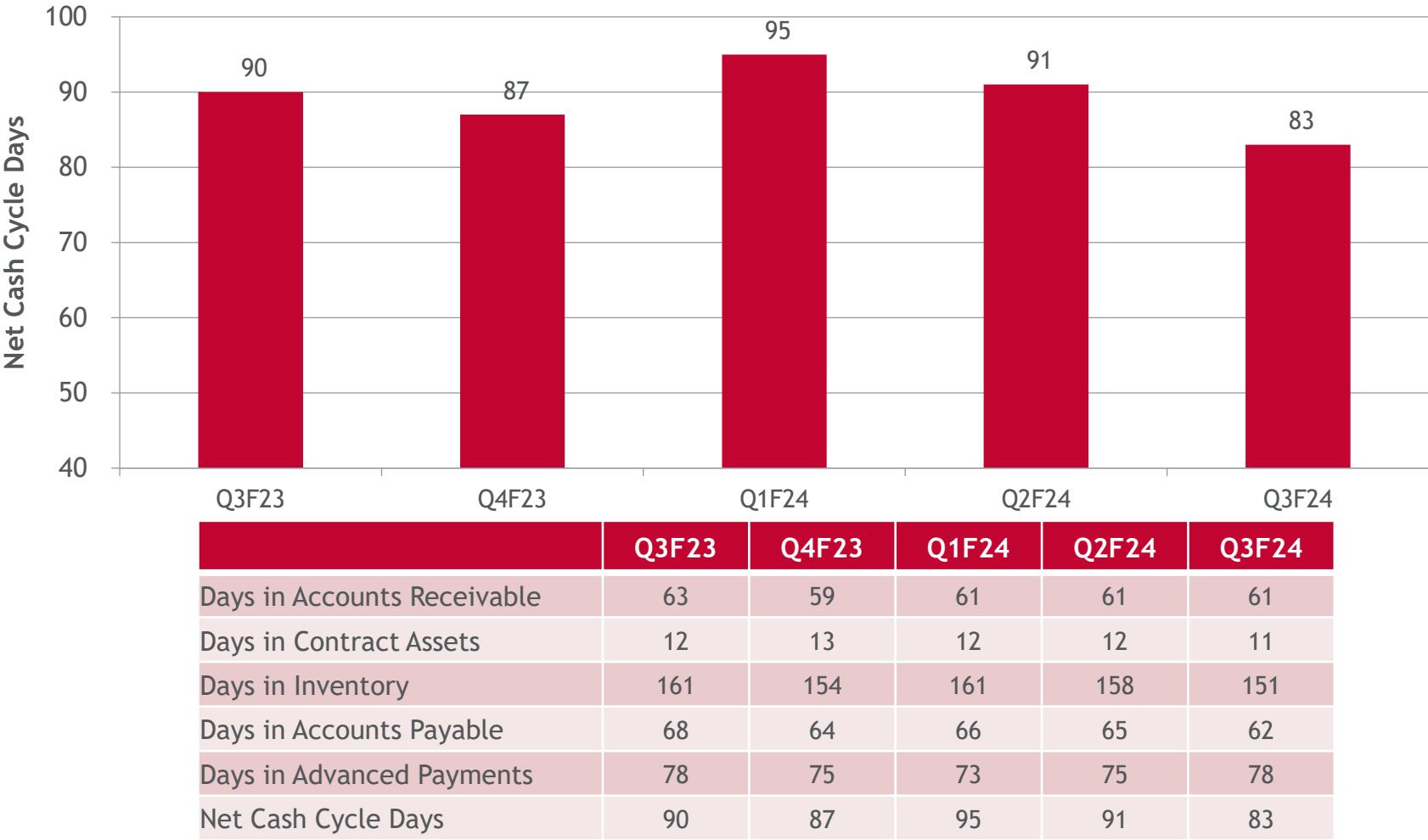
* Includes approximately 100 bps of restructuring charges and 70 bps of stock-based compensation expense

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Cash flow and balance sheet

	Q3F23	Q2F24	Q3F24
Free cash flow	(\$11.5) million	\$64.9 million	\$114.2 million
Share repurchases	\$13.6 million	\$17.6 million	\$18.6 million
Cash balance	\$254 million	\$265 million	\$270 million
Total debt	\$492 million	\$438 million	\$349 million
Return on invested capital	13.5%	9.9%	10.4%
Cash cycle days	90 days	91 days	83 days

Working capital trends



Fiscal fourth quarter 2024 guidance

	Q4F23	Q3F24	Q4F24 Guidance
Revenue	\$1.02 billion	\$961 million	\$990 million to \$1.03 billion
GAAP diluted EPS	\$1.44	\$0.91	\$1.14 to \$1.29
Non-GAAP diluted EPS	\$1.65	\$1.45	\$1.50 to \$1.65
Gross margin	9.4%	9.8%	9.7% to 10.0%
Selling & administrative expense*	\$43.4 million	\$46.0 million	\$50.5 to \$51.5 million
GAAP operating margin	5.2%	4.1%	4.6% to 5.0%
Non-GAAP operating margin	5.8%	5.8%	5.6% to 6.0%
Depreciation and amortization	\$18.5 million	\$19.8 million	Approximately \$20 million
Non-operating expense	\$6.9 million	\$8.9 million	\$8.2 to \$8.7 million
Effective tax rate	13%	15%	16% to 18%
Diluted weighted average shares outstanding	28.0 million	27.8 million	27.7 million
Cash cycle days	87	83	78 to 82 days

* Includes stock-based compensation expense

Q&A
Thank you.